Digital Financial Literacy AI Agent

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Domain: FinTech and Financial Inclusion | Theme: Agentic AI (RAG-based)

1. The Industry Problem

India's digital payments ecosystem has grown rapidly, with UPI now part of everyday life for millions of people. Financial literacy has not grown at the same pace. Many users, especially first-time digital users, people in rural and semi-urban areas, senior citizens and non-English speakers, are expected to send money, manage loans, understand interest rates and protect themselves from fraud without dependable guidance.

The correct information does exist, but it is scattered across RBI and NPCI publications, bank websites, government portals and educational platforms. It is mostly written in English, in technical language, and in long documents that ordinary users do not read. At the same time, fraudsters exploit this gap with fake KYC messages, collect-request scams, phishing links and predatory loan apps.

2. Why It Matters

- **Direct financial loss:** a single wrong tap or shared OTP can wipe out a household's savings, and recovery is slow and uncertain.
- **Erosion of trust:** users who are scammed once often retreat from digital payments, which undermines financial inclusion goals.
- **Debt traps:** users who do not understand interest rates, fees and loan terms can end up with high-cost borrowing.
- **Inequality of access:** good financial guidance is available mainly in English and mainly to people who already know where to look.

3. Target Users and Pain Points

Target user	Pain points
First-time digital payment users	Unsure how to use UPI safely; fear of making mistakes; cannot tell a genuine request from a fake one.
Rural and semi-urban users, non-English speakers	Official guidance is mostly in English; need answers in their own language.
Students and young earners	No structured help with budgeting, saving, interest rates and loans; rely on social media advice.
Senior citizens	Frequent targets of phone and SMS fraud; low confidence with digital tools.

4. Why Current Solutions Fall Short

- **Static awareness material** (pamphlets, PDFs, campaigns) cannot answer a specific question such as "Is this message genuine?"
- **Bank and app help sections** cover only that provider's own products and are rarely multilingual.

- **General chatbots** are not grounded in trusted Indian financial sources, so they can give confident but wrong or outdated answers, and they do not cite where an answer came from.
- **Search** returns scattered and sometimes unreliable pages, which leaves users to judge the source themselves.

5. Challenge to Solve

> Build an AI agent, powered by Retrieval-Augmented Generation (RAG), that gives users accurate, simple and source-backed answers on UPI, online fraud, interest rates, budgeting and personal finance, in the user's preferred language, so that people can use digital finance with confidence and avoid fraud.

6. Scope and Constraints

- **Knowledge sources:** trusted public material only, such as RBI, NPCI, government portals and bank consumer-awareness content.
- **Technology:** built on IBM technology (IBM Granite on watsonx.ai, with IBM Cloud Lite services), as required by the problem statement.
- **Responsible use:** educational guidance only, not personalised investment advice; every answer cites its source; no sensitive financial data is stored.
- **Deliverable:** a working prototype and demo, not a production deployment.